

Alteration of MOA

- For the alteration of Memorandum of Association of a company, there are rigid conditions and procedures which should be followed by every company for the alteration of its memorandum.
- The idea behind the strict conditions/procedure is to prevent alteration of memorandum too easily.
- Memorandum is altered and permitted only to the extent necessary for efficient and fair working of the company.

(A) Change of Name Clause [Section 13(2)]

Name Clause of a company can be altered in the following two ways -

(1) By Special Resolution - Where a company want to change its name it can do so by passing a **Special Resolution** and it shall also obtain the approval of the **Central Government** in writing. The approval of Central Government is not required merely for conversion or the addition/ deletion of the word "**Private.**"

(2) By Ordinary Resolution - Where a company is registered with a name which in the opinion of the **Central Government is identical with or resembles the name of an existing company**, the company may change its name by :-

a. On its own, by passing an ordinary resolution with the approval of the Central Government.

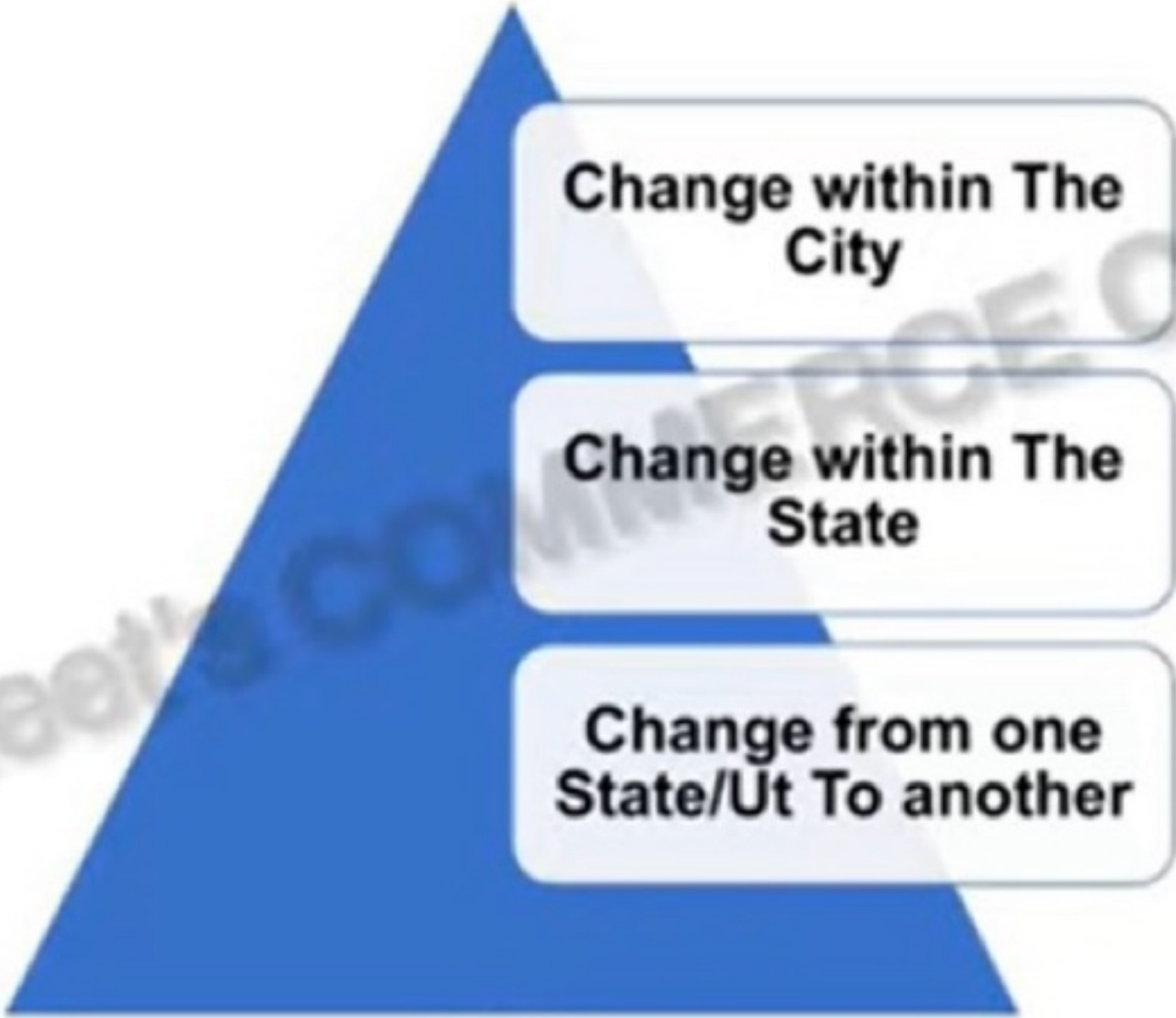
OR

b. On the directions of Central Government, Company must change its name **within 3 months** by passing ordinary resolution **under Section 16(1)**

- **Section 16(2):** The company within **15 days of changing its name shall inform ROC** with the orders of the Central Government so passed u/s 16(1)
- **Section 16(3): (from 1 Sept 2021)-** The Central Government has been empowered to allot a new name to the company, in case of default in complying with its direction instead of imposing punishment for non-compliance for such default.
- **Defaulting Companies Prohibited to Change the Name:** Change of name shall not be allowed to a company which is defaulting in filing its due Annual Returns or Balance Sheets or which has defaulted in repayment of matured deposits and debentures and/or interest thereon."

- **New Certificate of Incorporation:** Where the company has changed its name, the Registrar shall register its new name in place of the old name in the register of companies and a fresh certificate of incorporation shall be issued to the company.
- **Rights and obligations to remain unaffected:** The rights and obligations of a company and creditors will not be affected on the change of its name.

(B) Change Of Registered Office



Change within The City

Change within The State

Change from one State/Ut To another

- **Change within The City:**

- a. **Special Resolution** - If a company wants to change its Registered Office from one city to another city within the same state than , **a Special Resolution** is required to be passed in the general meeting of the shareholders of the company and a copy of the resolution is to be filed in **e-form 18** with the Registrar within **30 days**.
- b. Non compliance shall render the company and its every officer liable to punishment of **fine of Rs.1000 per day** of default, **not exceeding 1 lakh**.

- **Change within The State:**

- a. Special Resolution-** Where the registered office is to be changed outside the local limits of any city, town or village in the **same state, under the jurisdiction of same ROC**, a Special Resolution shall be passed by the company in the general meeting of shareholders and a copy of the resolution shall be sent to the Registrar within **30 days**.
- b. Confirmation by Regional Director -** The confirmation by the Regional Director will be necessary for changing registered office of a company **from the jurisdiction of one Registrar of Companies to the jurisdiction of another Registrar of the Companies within the same state.**

- **Change from one State/Ut To another**

(a) Special Resolution - A Special Resolution shall be passed by the company in the general meeting of shareholders and a copy of the resolution shall be sent to the Registrar within **30 days**.

(b) Confirmation by Central Government - Confirmation from the Central Government is required to change the registered office of the company from **one State to another State**.

The Central Government shall pass the order within the period of **60 days** and copy of the order passed by Central government confirming the resolution shall be filed with the registrar of both the States involved. All the records of the company shall be transferred to Registrar of the State in which the registered office is shifted by the Registrar of the State from which the registered office was shifted.

- **Change outside India:** A Company cannot change its registered office from India to another country and the Central Government has no power to sanction such alteration of the memorandum.

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(C) Change Of The Object Clause

According to Section 13(8), a company which has raised money from public through prospectus and still has any unutilized amount out of the money so raised, shall not change its objects for which it raised the money through prospectus unless it satisfies the following conditions –

The company may change its objects if the following conditions (requirements of the Act) are fulfilled :

a) Special resolution: The company must pass a **special resolution through Postal Ballot** (as per Rule 32 of Companies Incorporation Rules, 2014) in regard to change of objects.

b) To publish in newspapers and its website: The details as may be prescribed in respect of such resolution must also be published in the newspapers (**one in English and one in Local Language**) which is in circulation at the place where the registered office of the company is situated and changes shall also be placed **on the website of the company**.

c) Opportunity to exit: The company, that is, the promoters and shareholders having control, shall give to the **dissenting shareholders an opportunity to exit** (the right to leave company) in accordance with regulations to be specified by **the Securities and Exchange-Board**.

d) Certificate from Registrar: The company shall file the special resolution in regard to change of objects with the Registrar. He shall register any alteration of the Memorandum with respect to the objects of the company and certify the registration **within a period of 30 days from the date of filing of such special resolution**.

No such alteration of objects shall have any effect **until it has been registered in the said manner by the Registrar**.

(D) Change Of Liability Clause

- **Limited Company**

- Ordinarily liability clause cannot be altered so as to make the liability of members unlimited but if still company wants to change the liability than it can do so **by passing special resolution** but it has to take **member's consent either before or after the alteration**. A copy of the resolution shall be sent to the Registrar.
- Any alteration in the memorandum will be void if the effect of the alteration is the enhancement of the liability of members. This **provision, will not apply to a case where the members agree in writing to be bound by the alteration**.

- **Unlimited Company**

- **Section 18** permits **unlimited company to register as a limited company by passing a special resolution**. A copy of the resolution shall be sent to the Registrar. On alteration, the Registrar shall close the former- registration of the company and new registration shall take effect as if it were the first registration.
- The registration of an unlimited company as a limited company **shall not affect any debts, liabilities obligations or contracts entered into before the conversion**.

(E) Change Of Capital Clause U/S 61(1)

- **Ordinary Resolution-** A limited company, having a share capital may **alter its capital clause** subject to the provisions of its articles by an ordinary resolution in the general meeting.

The confirmation of the Court is not required if alteration is made for any of the following purposes:

1. To increase its authorised share capital.
 2. To consolidate and divide its share capital into shares of larger amount
 3. To convert its fully paid shares into stock and reconvert the stock into fully paid up share
 4. To sub-divide its shares into shares of smaller amount.
 5. To cancel its shares
- If the **alteration relating to consolidation and division** which results in changes in the voting percentage of shareholders the prior approval of Tribunal will be required.

- **Special Resolution-** In case of reduction of share capital, special resolution is necessary.

- **Filing With ROC [Sec. 64]**

(a) Where a Company has done any of the above alterations with regard to its Share Capital, it shall give **Notice to the ROC within 30 days specifying the Alteration.**

(b) Upon such Notice, the Registrar shall record the same and make any **alterations that may be required in the Company's MOA and AOA**

(c) Default in giving Notice to Registrar shall render the Company and every Officer of the Company liable to **fine up to Rs. 1000 per day of continuing default or Rs. 5 lakhs, which ever is less.**